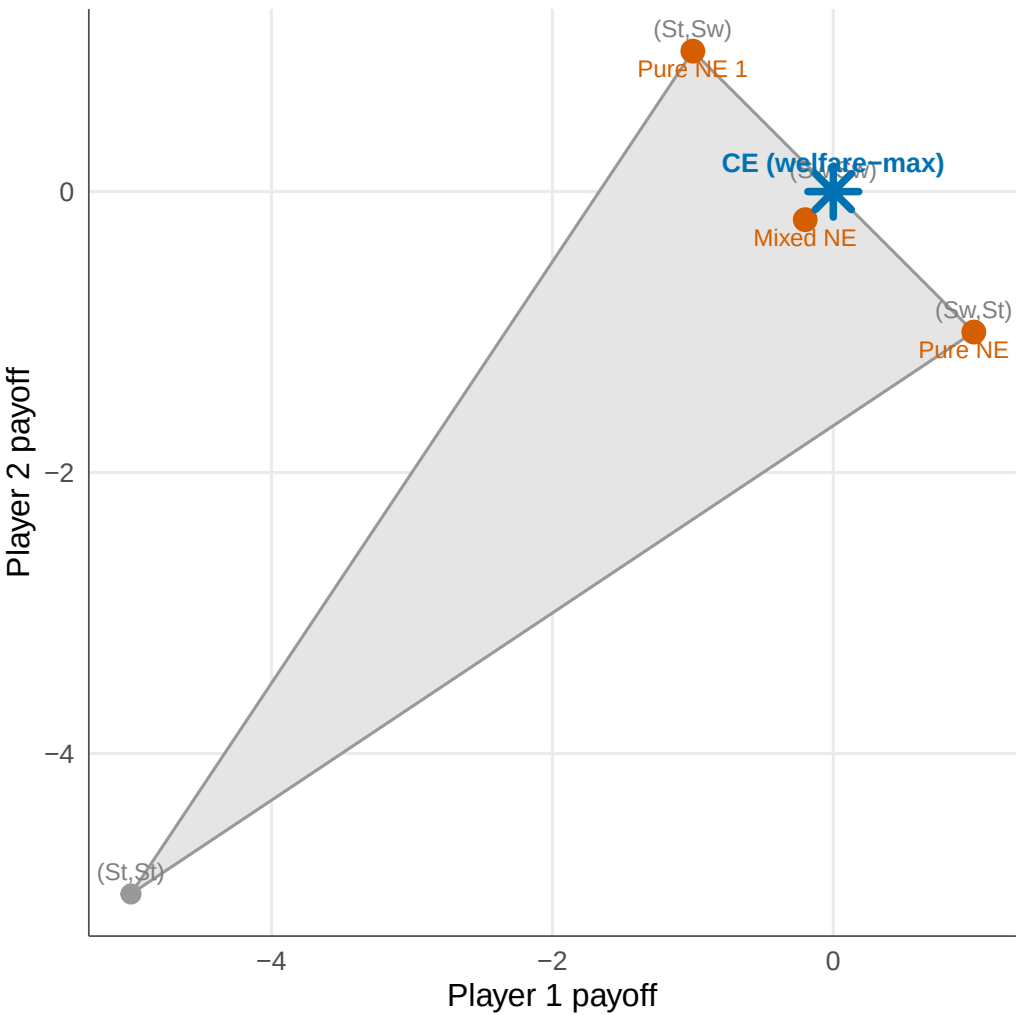
Chicken: correlated equilibrium vs Nash equilibria
CE achieves higher welfare by coordinating via shared signals
(St,Sw)
Pure NE 1
CE (welfare−max)
Mixed NE
(Sw,St)
Pure NE
(St,St)
0
−2
−4
−4
−2
0
Player 2 payoff
Player 1 payoff